forward Ratan Tata's legacy, insisting their approach best reflects the group's ethos. In a media interview, Vijay Singh described the very idea of voting at Tata Trusts as "unprecedented". "Ratan Tata was very firm that there should always be consensus and unanimity on issues... and perhaps we are now in a different era," he said, referring to the four trustees, including Mistry, who blocked his reappointment to the Tata Sons board.

The dispute has revived memories of Ratan Tata's own legal battle with Cyrus Mistry, who was ousted as Tata group chairman in a boardroom coup in October 2016. Cyrus had sought legal recourse, but the Supreme Court in 2021 upheld Tata Sons' board decision to remove him. Notably, Noel is married to Cyrus's sister, Aloo Mistry.

Some argue that Mehli Mistry, brought in as a trustee by Ratan Tata in 2018, is the rightful candidate for the Tata Sons board, given his majority support. If that chorus gains strength, tensions within Tata Trusts are likely to simmer for a long time. "When there is a difference of opinion, the majority decision prevails," says H.P. Ranina, a senior Supreme Court advocate. "Mistry has the support of the majority and should be appointed to the Tata Sons board."

Ranina underscores Mistry's dedication: "He is the only trustee devoting substantial time to the various trusts, without taking any commensurate remuneration. These trusts manage thousands of crores in assets." Moreover, Ranina claims, Mistry remains fully aligned with the principles laid down by Ratan Tata for the group. "He is a man of strong principles, forthright and possesses impeccable integrity, honesty and dedication," he adds. By contrast, Noel already juggles multiple responsibilities as chairman of several Tata Group companies, including Trent, Tata International and Voltas.

THE PUBLIC LISTING DIVIDE

Another point of contention is the public listing of Tata Sons. The Reserve Bank of India (RBI) had classified Tata Sons as an upper-layer non-banking financial company (NBFC) in 2022 due to its heavy borrowings and big investments in group companies. This requires it to go public. It is learnt that some trustees fear that an initial public offering (IPO) could dilute their veto powers and expose the company to takeover risks and stricter governance rules.

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> *Supreme Court advocate*

The RBI's deadline for Tata Sons to go public ended on September 30. The company had already surrendered its NBFC licence in August 2024 and was awaiting the RBI's final decision to deregister itself, assuring the central bank it would continue as a debt-free holding company. To this end, Tata Sons has already repaid Rs 20,300 crore in debt.

Meanwhile, the Shapoorji Pallonji (SP) Group, which holds an 18.37 per cent stake in Tata Sons, spoke up again on October 10 in favour of public listing. The family-owned SP Group is helmed by the late Cyrus Mistry's brother Shapoor Mistry. According to them, this move would "not only uphold the spirit of transparency envisioned by its founding father, Shri Jamsetji Tata, but also strengthen trust among all stakeholders—employees, investors and the people of India".

The SP Group added that Tata Trusts stands to benefit significantly from the move. "A transparent and publicly accountable Tata Sons would pave the way for a robust and equitable dividend policy, thereby ensuring sustained inflows to the trusts. These funds can then be dedicated to the welfare of the poor and the service of our great nation," it said in a media statement. For the SP Group, burdened with about Rs 60,000 crore in debt and repayments of Rs 10,645 crore due by December, the Tata Sons' listing is critical. Having reportedly pledged its entire stake as collateral, the group hopes the public offering will unlock value for a future stake sale to ease its debt load.

J.N. Gupta, founder & MD of the corporate governance research and advisory firm Stakeholders Empowerment Services, sees the entire conflict as a symptom of deeper issues. "The absence of a proper succession plan is taking its toll," he says. "The philosophy of the Tatas has always been philanthropy, but they never seemed to anticipate a time when the family hold through the old guard would no longer be there." According to Gupta, Noel was parachuted into the system, and others may not care about him. "Unless the issue of succession is clearly sorted, there would be a struggle for control," he adds. "The trustees have a public duty. The issues at Tata Trusts should be ironed out, else it will begin to harm its beneficiaries, i.e. the downtrodden." Tata Trusts did not reply to questions sent on the matter.

The battle for control has exposed the fault lines in a group long regarded as a model of corporate governance and transparency. Resolving these tensions will require careful effort from the trustees, the Tata Group management and the key families involved to ensure the group upholds its legacy and continues to positively impact the lives of millions of Indians. ■